



Spatial Truth: Location Service for Physical AI

APPENDICES FAQ (DEEP DIVES)

Appendix B: Pricing and Financial Projections

Executive Summary Spatial Truth utilizes a tiered SaaS model to convert centimeter accuracy into recurring revenue. By positioning the service as a low-cost enhancement that removes location uncertainty rather than a primary telematics platform, we align with existing procurement behaviors while maintaining high-margin, zero-CAPEX scalability. SAM projection for **45M vehicles** at \$6/month (\$72/year) blended ARPU is **\$3.24B annual revenue**. At 5% penetration of SAM, the projection for **2.25M vehicles** is **\$162M ARR**.

Q B1: What market benchmarks support the proposed pricing tiers?

A: Our pricing is designed to fit within established enterprise telematics budgets.

Market Context: Commercial telematics subscriptions typically range from \$10-\$40+ per vehicle/month. The "Add-on" Strategy: Spatial Truth is a centimeter accuracy enhancement, not a replacement. Our tiers represent a manageable "fractional" spend:

- Subscription tiers are \$3/month (Bronze): \$7/month (Silver):15/month (Gold).

- Represents ~7-30% of typical telematics spend.
- Positioned as a premium add-on tier.
- High-accuracy mission-critical tier, still within established fleet budget tolerances.

Q B2: What is the economic justification (ROI) for a fleet to pay for these tiers?

A: For a standard commercial truck, the cost of centimeter accuracy is negligible compared to the cost of location error.

- Operational Baseline: A truck costs ~\$200,000/year to operate based on ~\$2.00 per mile for 100k miles.
- The Investment: The \$180/year, Gold, subscription represents just 0.09% of total operating costs
- The Payback: If centimeter accuracy prevents just one 25-minute delay per month (fully burdened driver cost of \$40/hr), the per truck, per incident saves \$204/year.
 - *Driver hours:* 25 minutes = ~0.42 hours.
 - *Incident Cost:* 0.42 hours × \$40/hour = ~\$17 per incident.
 - *Annual Savings:* \$17 × 12 months = **\$204/incident/truck/year**
- Conclusion: One avoided delay per truck per month pays for the entire annual subscription.

Q B3: How are the service tiers structured by accuracy and segment?

A: Align value escalation with centimeter accuracy:

Tier	Accuracy	Annual Cost	Target Segment
Bronze	<1m	\$36	Basic fleet/yard operations
Silver	<30cm	\$84	Urban logistics/Last-mile
Gold	<10cm + NTN	\$180	Autonomous-ready/Mission-critical

Logic: Each step in the gradient represents a 3x to 10x improvement in centimeter accuracy

Q B4: Why is this model more capital efficient than traditional hardware solutions?

A: We eliminate the "Hardware Clutter" traditionally required to solve location uncertainty.

- Legacy Burden: Traditional high-accuracy solutions require thousands in upfront CAPEX per vehicle, plus installation and maintenance.
- Spatial Truth Advantage: By moving to a network-based zero-CAPEX model, a 5-year "Gold" subscription costs only \$900 total.
- Business Impact: This shifts the cost from a heavy CAPEX burden to a scalable, high-margin OPEX subscription that can be deployed instantly via software.

Q B5: What revenue does it support at scale?

A: We project significant ARR even with conservative market penetration.

- Serviceable Addressable Market (SAM): ~45M vehicles.
- Blended ARPU: \$6/month (\$72/year).
- Total Market Potential: \$3.24B annual revenue.
- **5% Penetration Target of 45M = 2.25M vehicles: \$162M ARR**